

S A M P L E

Employee Handbook

A Guide for Our Employees



Last Updated: February 21, 2012

Legal Disclaimer

For Employers Only

The materials in this sample handbook are intended to provide a general reference or resource only. The matrix of federal, state and local laws governing employment are too complex to create a “one size fits all” Handbook. Although our materials are drafted by employment counsel, these materials are not to be construed as providing legal, accounting, or any other professional service or advice. We strongly advise that you work with experienced legal counsel to develop and implement your own handbook, and before adapting any part of this Sample Handbook for use in your company or organization.

Companies operating in more than one state, and even in more than one city in the same state, need to be particularly careful because applicable law, particularly in the employment discrimination area, can vary significantly from state to state and even from city to city.

It is necessary to change your company policies from time to time to reflect changes in the workforce, employment trends, economic conditions and state and federal legislation. Laws change and, as a result, the Sample Handbook may not be in compliance with current rules and regulations. In addition, your state may have additional or different laws and regulations not contemplated by a particular sample policy.

Acknowledgement of Receipt of Employee Handbook

I acknowledge that I have received a copy of the Employee Handbook. I understand that I am responsible for reading and abiding by all policies and procedures in this Handbook, as well as other policies and procedures of the Company.

I also understand that the purpose of this Handbook is to inform me of the Company's Policies and Procedures, and it is not a contract of employment. Nothing in this Handbook provides any entitlement to me or to any Company employee. I also understand that the Company has the right to change any provision of this Handbook at any time and that I will be bound by any such changes.

I expressly agree to the provisions of Part 7, Dispute Resolution of the Handbook, in which I have agreed to use alternative dispute resolution, in lieu of litigation, as the sole means of resolving any dispute that may arise between the Company and me, subject to the Company's right to seek injunctive relief. I understand that by agreeing to arbitration I waive any right I may have to sue or seek a jury trial. The decision of the arbitrator will be final and binding.

Signature

Date

Please print your full name

Please sign and date one copy of this notice and return it to Human Resources. Retain a second copy for your reference.

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Welcome

Employer Note: This section is where employees are welcomed, preferably by the President or CEO of the Company. You may also wish to talk about the history of the company, its growth, its products, its position in the marketplace, etc.

This is also an opportunity to communicate about company culture and values. Your message will create one of the first impressions of the company in the mind of the new employee.

Introduction

This Employee Handbook is a compilation of personnel policies, practices and procedures currently in effect at .

The Handbook is designed to introduce you to our company, familiarize you with company policies, provide general guidelines on work rules, disciplinary procedures and other issues related to your employment, and help answer many of the questions that may arise in connection with your employment.

This Employee Handbook is not a contract. Like most American companies, does not offer individual employees formal employment contract with the Company. This Handbook does not create a contract, express or implied, guaranteeing you any specific term of employment, nor does it obligate you to continue your employment for a specific period of time. The purpose of the Handbook is simply to provide you a convenient explanation of present policies and practices at the Company. This Handbook is an overview or a guideline. It cannot cover every matter that might arise in the workplace.

The Company reserves the right to modify any of our policies and procedures, including those covered in this Handbook, at any time. We will seek to notify you of such changes by email and other appropriate means. However, such a notice is not required for changes to be effective.

Employer Note: If you operate in more than one state, or if you are a virtual company with personnel scattered throughout multiple states, you may wish to include the following:

As a virtual company, we operate in numerous states within the United States as well as in other countries. State, local, and federal employment laws change with some frequency, either as a result of a judicial decision or new legislation or regulations. Although we seek to monitor the laws in all states where we have employees, our Handbook may not always reflect the very latest requirements. We are, of course, committed to complying with all applicable laws. If you have specific questions, please contact our Human Resources Department.

Part 1 – Getting Started

Recruitment and Hiring

The Company's primary goal when recruiting new employees is to fill vacancies with persons who have the best available skills, abilities or experience needed to perform the work. Decisions regarding the recruitment, selection and placement of employees are made on the basis of job-related criteria.

When positions become available, qualified current employees are encouraged and are welcome to apply for the position. As openings occur, notices relating general information about the position are posted. The manager of the department with the opening will arrange interviews with employees who apply.

We encourage current employees to recruit new talent for our Company.¹

Employment Classifications

The following terms will be used to describe employment classifications and status

Exempt Employees

An exempt employee is a salaried employee earning at least \$455 per week who holds an administrative, professional, or management position. Exempt employees are not subject to the overtime pay provisions of the Fair Labor Standards Act (FLSA). Certain outside sales persons and a few other job categories are also exempt.

Non-Exempt Employees

All hourly employees are non-exempt employees. Salaried employees who are not administrative, professional, or managerial employees (as defined by the U.S. Department of Labor) are likewise not exempt.

Employer Note: *If you have unionized employees, or if you have both exempt and nonexempt employees, you should have one handbook for each group, i.e., a total of three handbooks. You may use a loose leaf version so that you can change pages specific to a particular group. We strongly recommend that you not give a “one size fits all” handbook to any group, advising the employees that certain provisions do not apply to them.*

Full-Time Employee

Full-time employees are those who are regularly scheduled to work at least 40 hours per week.²

¹ If you provide rewards for such referrals describe them here.

Part-Time Employee

Part-time employees are those who are regularly scheduled to work at least 20 but fewer than 40 hours per week. Part-time employees are not eligible for Company paid benefits, with the exception of the 401(k) plan. Any employee who works 1,000 hours or more may participate in the 401(k) plan.³

Temporary Employee

Employees hired for an interim period of time, usually to fill in for vacations, leaves of absence, or projects of a limited duration. Temporary employees are not eligible for Company benefits. Temporary employees include interns and co-op students.

If your status changes from temporary or casual to part-time or full-time, you are considered hired on the date you become a full-time or part-time employee for purposes of calculating eligibility for benefits that require a minimum term of employment.

Casual Employee

Employees who work on an occasional or as needed basis. Casual employees are generally not eligible for benefits.⁴

Independent Contractors

Persons hired by the Company to perform a particular job, typically for a limited time period. These persons may be self-employed or they may work for an outside agency. Independent contractors are not eligible for Company benefits and they are not considered employees of the Company.

Equal Employment Opportunity

The Company is an Equal Opportunity Employer. We will extend equal opportunity to all individuals without regard to race, religion, color, sex (including pregnancy), national origin, sexual orientation, age, marital status, disability, genetic information or any other status protected under applicable Federal, State or Local law. Our policy reflects and affirms the Company's commitment to the principles of fair employment and the elimination of all discriminatory practices. Details of our Equal Employment Opportunity policies are further explained in Part III below.

² Some employers consider full time 35 or 37.5 hours per week. You may set full-time at any level you wish. You merely need to pay non-exempt employees overtime if they work more than 40 hours in a week.

³ Under ERISA, employees working 1,000 hours annually or more are entitled to enroll in certain deferred compensation plans. With the exception of these plans, the employer may determine at what point part-time employees will be able to enjoy benefits.

⁴ Some industries like healthcare use per diem (PRN) employees regularly. These employees may work as little as one day per week and they may or may not be regularly scheduled. You may, if you wish, include these people as part-time employees and change the definition of part-time. Of course, if you rarely if ever use such employees, you may delete this category.

Your Employment Relationship with the Company

Like most American companies, _____ does not offer individual employees a formal employment contract with the Company. Employment is “at will,” meaning that you or the Company may end your employment at any time for any lawful reason.

This Employee Handbook is not a contract. It does not create any agreement, express or implied, guaranteeing you any specific terms or conditions of employment. Nothing contained in this Handbook should be construed as creating a contract guaranteeing employment for any specific duration. Neither does it obligate you to continue your employment for a specific period of time. Unless you have entered into an Employment Agreement that supersedes this document, either you or the Company may terminate the employment relationship at any time. Neither does the handbook guarantee any prescribed process for discipline and discharge.

No manager or other representative of the Company, other than the President, has the authority to enter into any agreement guaranteeing employment for any specific period. No such agreement shall be enforceable unless it is in writing and signed by the President⁵ and the employee.

Orientation and Training

To help you become familiar with the Company and our way of doing things, the Company will provide an orientation and training session within the first few days after you begin work. Some of the content of the session will depend in large part on the nature of your responsibilities, while other parts will be applicable to all employees. In addition, the Company may periodically offer additional training or educational programs. Some programs may be voluntary, while others will be required.

Employer Note: This Section must, of course, be adapted to your practices. We encourage employers, however, to offer some type of orientation for each employee which will help the employee to quickly adapt to your company’s culture and practices. Periodic training sessions are also desirable.

Immigration Law Applicable to All Employees

The Company complies with the Immigration Reform and Control Act of 1986 by employing only United States citizens and non-citizens who are authorized to work in the United States. All employees are asked on their first day of work to provide original documents verifying the right to work in the United States and to sign a verification form required by federal law (Form I-9). If you cannot verify your right to work in the United States within three (3) days of hire, the Company is required by law to terminate your employment.

Hours of Work

The workweek is generally from Monday through Friday, with normal operating hours from 8:30 am to 5:30 pm, with one hour for lunch.

⁵ The officer may be the CEO or other top executive.

Employer Note: Exempt employees may or may not have specific times for lunch hours and breaks, since they must by law be paid in full for any day worked. You may wish to schedule a shorter lunch hour, e.g., 30 to 45 minutes.

If you have multiple locations, you may wish to add: “Please contact the Human Resources department for information on normal business office hours at your location.

There are no federal laws requiring specific times for lunch and breaks. Many states have eliminated such laws as well. You should check with employment counsel or your appropriate state agency to determine whether your state has any special requirements.”

Flex Time and Telecommuting

The Company recognizes that many employees need flexibility in work schedules in order to meet child care and other needs. Core hours are 9:30 am to 2:30 pm and all employees should be at work during those hours. Within the structure of the core hours, you may schedule your eight hour work day as you choose, if the nature of your job permits such flexibility and your supervisor approves your schedule.

The Company also offers employees the opportunity to telecommute. Not all jobs are suitable for telecommuting. You may telecommute up to three (3) days per week with the approval of your supervisor.

Employer Note: Flex time and telecommuting have become increasingly popular in recent years. In some cases such flexibility may even increase productivity. If flexible scheduling, telecommuting, or other variations on the traditional work week are appropriate to your business, describe your policy and practices clearly. If you implement a program, supervisors should not withhold approval of flexible schedules and telecommuting without good reason.

Overtime

Because of the nature of our business, your job may periodically require overtime work.⁶ If the Company requires that you work overtime, we will give you as much advance notice as possible. You should not work overtime hours without prior approval by your Manager.

⁶ In your handbook for non-exempt employees insert “Employees who work more than 40 hours in one week are entitled to one and one-half their base rate of pay for each hour of overtime worked.” In your handbook for exempt employees insert “Exempt employees generally are not entitled to additional pay for overtime. If you are required to work significant additional hours, your supervisor may grant you “comp” time off equal to the accumulated overtime.”

Employer's Note: Although you may voluntarily pay overtime compensation to exempt employees, you are not required to do so under federal law. Non-exempt employees are entitled to overtime pay. Check your state law as well, as it may impact both overtime compensation and minimum wages. As noted previously, we recommend separate handbooks for exempt and non-exempt employees to eliminate the need to call to employees' attention the variables in benefits and policies applicable to different groups of employees.

If your company operates on a 24-hour a day, 7-day/week, you may have separate compensation and overtime practices consistent with applicable law. In some instances, e.g., healthcare, an employer may pay overtime for time worked in excess of 80 hours in two weeks rather than 40 hours in one week, subject to employee consent.

Attendance and Punctuality

It is important for you to report to work on time and to avoid unnecessary absences. The Company recognizes that illness or other circumstances beyond your control may cause you to be absent from work from time to time. However, frequent absenteeism or tardiness may result in disciplinary action up to and including discharge. Excessive absenteeism or frequent tardiness put an unnecessary strain on your coworkers and can have a negative impact on the success of the Company.

You are expected to report to work when scheduled. Whenever you know in advance that you are going to be absent, you should notify your immediate supervisor or the designated manager. If your absence is unexpected, you should attempt to reach your immediate supervisor as soon as possible, but in no event later than one hour before you are due at work. In the event your immediate supervisor is unavailable, you must speak with a manager. If you must leave a message on voicemail, you must provide a number where your supervisor may reach you if need be.

Some, but not all, absences are compensated under the Company's leave and benefits policies described in Part 4 below.

You are expected to be at your workstation at the beginning of each business day. If you are delayed, you must call your immediate supervisor to state the reason for the delay. As with absences, you must make every effort to speak directly with a manager. Regular delays in reporting to work will result in disciplinary action up to and including discharge.

Inclement Weather

The Company is open for business unless there is a government-declared state of emergency or unless you are advised otherwise by your supervisor. There may be times when we will delay opening and on rare occasions we may have to close. Use common sense and your best judgment, however, when traveling to work in inclement weather.

In the event that the Company's facilities are closed by the Company or the government, employees will be paid for the day. If the Company's facilities are open and you are delayed getting to work or cannot get to work at all because of inclement weather, the absence will be

charged to (1) personal/sick time, (2) vacation time, or (3) unpaid time, in that order. You should always use your judgment about your own safety in getting to work.

When potentially dangerous weather develops during the day and a decision is made by the Company to close early, you will be compensated for the full day.

When severe weather develops or is anticipated to develop during the day and a decision is made by Management to close before 5:30 p.m., you will be compensated as if you had worked to the end of your regularly scheduled hours for that day. If you elect to leave prior to the time a decision is made by the Company to close early, you will be required to use accrued time at the same rate as if you arrive after the scheduled start time.

Employer Note: *Generally exempt employees must be paid if they work at all during the day. You may wish to charge non-exempt employees' sick time or vacation time in the event of tardiness or absence due to inclement weather. We have suggested here that employees be paid if they are unable to work because of a Company decision or government mandate. However, except for rules requiring payment in full to exempt employees who work any part of a day, there is no legal requirement to compensate employees in this manner.*

Dress Code

As an employee of the Company, we expect you to present a clean and professional appearance when you represent us, whether you are in or outside of the office. You are, therefore, required to dress in appropriate business attire and to behave in a professional, businesslike manner. It is essential that you act in a professional manner and extend the highest courtesy at all times to co-workers, visitors, customers, vendors and clients. A cheerful and positive attitude is essential to our commitment to extraordinary customer service and exceptional quality.

The current Company dress code is . Please keep in mind, however, that the Company is a professional business office, where clients and others often visit. Generally, clean, neat clothing is acceptable. However, torn jeans or other torn clothing and tee shirts with inappropriate verbiage or pictures are not appropriate casual attire. As always, please use common sense in your choice of business attire.

Employer Note: *Dress codes have changed a great deal over the last decade or so. In some industries, jeans or short and tee shirts are the norm, while in others shirts, ties, and business suits for women are the norm. Give careful thought in designing your policy. On the one hand, you want employees to be dressed appropriately, particularly if they interact with customers or clients. On the other hand, too many restrictions may cause unnecessary employee resentment. "Dress down" Fridays are one common variable for companies where business attire is normally required.*

Work Space

Employees are responsible for maintaining the workspace assigned to them. A clean, orderly workspace provides an environment conducive to working efficiently. A photo or two of those

who are special to the employee is encouraged. However, employees should keep in mind that their workspace is part of a professional environment that portrays the company's overall dedication to providing quality service to its clients. Therefore, your workspace should be clean, organized and free of items not required to perform your job.

Office Equipment

Certain equipment is assigned to staff depending on the needs of the job. That equipment can include items such as a calculator, personal computer, printer and access to our central computers and servers. This equipment is the property of the Company and cannot be removed from the office without prior approval from your supervisor. It is expected that you will treat this equipment with care and report any malfunctions immediately to staff members equipped to diagnosis the problem and take corrective action.

Personnel Records

It is important that the Company maintain accurate personnel records at all times. You are responsible for notifying your immediate supervisor or the Human Resources Department of any change in name, home address, telephone number, marital status, number of dependents, immigration status, or any other pertinent information. By promptly notifying the Company of such changes, you will avoid compromise of your benefit eligibility, the return of W2 forms, or similar inconvenience.

Performance Reviews, Salary Reviews

You will have your first performance review at the end of your first three (3) months of employment with the Company. After the three month introductory period, performance reviews will normally be conducted annually on or about your anniversary date. All performance reviews will be completed in writing by your supervisor or manager on the form designated by the Company, and reviewed during a conference with you. Factors considered in your review include the quality of your job performance, your attendance, meeting the requirements of your job description, dependability, attitude, cooperation, compliance with Company employment policies, any disciplinary actions, and year-to-year improvement in overall performance. Compensation increases are given by the Company at its discretion in consideration of various factors, including your performance review.

Employer Note: Give careful thought to your means and timing of evaluations. If you promise annual evaluations in the handbook, ensure that all supervisors perform annual evaluations. We cannot stress enough the importance of written evaluations for a variety of reasons, including supporting discipline, discharge, layoff, etc. Be certain that what you say in the handbook is in fact what you actually do in practice.

Part 2 – Our Policies and Practice

Internet Access

Access to the Internet and World Wide Web is given principally for work-related activities or approved educational / training activities. Incidental and occasional personal use and study use is permitted. This privilege should not be abused and must not affect a user's performance of employment-related activities.

The Company itself, or through its Internet Service Provider, may, from time to time, monitor, log and gather detailed statistics on employees' Internet activity.

The Company email and Internet system is the property of the Company. By accessing the Internet, Intranet and electronic mail services through facilities provided by the Company, you acknowledge that the Company by itself or through its Internet Service Provider may from time to time may monitor, log, and gather statistics on employee Internet activity and examine all individual connections and communications.

Responsibilities and Obligations

Employees may not access, download or distribute material that is in breach of the law, or which others may find offensive or objectionable, such as material that is pornographic, bigoted or an incitement to violence.

You must respect and comply with copyright laws and intellectual property rights of both the Company and other persons at all times. When using web-based sources, you must provide appropriate attribution and citation of information to the websites. Software must not be downloaded from the Internet without the prior approval of qualified persons within the Company.

Violation of this Policy

In all circumstances, use of Internet access and email systems must be consistent with the law and Company policies. Violation of this policy is a serious offense.

This policy is incorporated as part of the terms of employment by the Company. Subject to the requirements of law, violation of this policy may result in a range of sanctions; from restriction of access to electronic communication facilities, to disciplinary action, including dismissal.

Email

The email system is the property of the Company and the Company. All emails are archived on the server in accordance with our records retention policy, and all emails are subject to review by the Company. You may make limited personal use of our email system for personal business matters, so long as such use is kept to a minimum and does not interfere with your work.⁷

⁷ This illustrates an area where having exempt and non-exempt handbooks are helpful. Non-exempt employees might be required to use email for personal matters only on break time or lunch time. Exempt employees usually

The Company email system is company property, and as such, is subject to monitoring. System monitoring is done for your protection and the protection of the rights or property of the provider of these services. Please consider this when conducting personal business using Company hardware and software.

Electronic mail is like any other form of company communication, and may not be used to harass. Your email account is a company-provided privilege, and is company property. Remember that when you send email from the Company domain, you represent the company whether your message is business-related or personal.⁸

Telephones

[If your company has a policy of use of company phones, insert it here. We recommend that any policy be balanced. On the one hand, you are not paying employees to converse with friends and family or handle personal business all day. On the other hand, parents may need to check in on children; others may need to make personal business calls, etc. Like all policies, your telephone policy should not discriminate against any employee or group of employees, and it must be enforced consistently.]

Employer Note: *You will need a clear policy on the use of company computers, cell phones, fax machines, and other equipment for personal use. Today, there is generally little or no cost to the use of such equipment by employees. Employees may expect to be able to check home email or check news on the Web during the day. You should set forth clearly here what employees are permitted to do and what they are prohibited from doing.*

This policy is simply one suggestion. You should describe your current policy and practice here. If you have no policy or practice, consider creating one that is appropriate for your business and company culture.

Smoking

In order to provide a safe and comfortable working environment for all employees, smoking is strictly prohibited at all times inside any Company building.

Advisory Note: *Please check your state laws to determine if there is a no-smoking law for the workplace. If there is, you may use the following in your handbook. "In compliance with State Law and in order to provide a safe and comfortable working environment for all employees, smoking is strictly prohibited at all times inside any Company building."*

have no formal lunch times or break times and may need to access email for personal use whenever there is a break in their work time.

⁸ Many companies have more restrictive email policies. Whatever policy you adopt, you must apply it consistently and without favoritism or discrimination.

Drug-Free Workplace

The Company takes seriously the problem of drug and alcohol abuse, and is committed to providing a substance abuse free workplace for its employees. Substance abuse of any kind is inconsistent with the behavior expected of our employees, subjects all employees and visitors to our facilities to unacceptable safety risks, and undermines our ability to operate effectively and efficiently.⁹ The Company has adopted a formal policy related to substance abuse. A copy of the complete policy is contained in this Handbook.

Employer Note: *Your complete policy, if any, including any provisions for random or reasonable cause based testing should be set forth in the handbook. To help build your own company drug-free workplace policy, [please click here](#).*

Substance Abuse

Substance abuse is a serious problem adversely affecting the lives of millions of Americans, corporate profits, organizational effectiveness, and our nation's ability to compete in the world economy.

The Company recognizes alcohol and drug abuse as potential health, safety and security problems. The Company expects all employees to assist in maintaining a work environment free from the effects of alcohol, drugs or other intoxicating substances. Compliance with this substance abuse policy is made a condition of employment, and violations of the policy may lead to discipline and/or discharge.

All employees are prohibited from engaging in the unlawful manufacture, possession, use, distribution or purchase of illicit drugs, alcohol or other intoxicants, as well as the misuse of prescription drugs on Company premises or at any time and any place during working hours. While we cannot control your behavior off the premises on your own time, we certainly encourage you to behave responsibly and appropriately at all times. All employees are required to report to their jobs in appropriate mental and physical condition, ready to work.¹⁰

Substance abuse is an illness that can be treated. Employees who have an alcohol or drug abuse problem are encouraged to seek appropriate professional assistance. You may inform the Director of Human Resources for assistance in seeking help to address substance abuse. The Director can also help you determine coverage available under the Company's medical insurance plan.

When work performance is impaired, admission to or use of a treatment or other program does not preclude appropriate action by the Company.

⁹ If your company is subject to the federal Drug Free Workplace Act, add the following statement here: "Any employee who is convicted of any violation occurring on Company property or during working times, shall notify Human Resources within five (5) days of the date of conviction. A conviction includes a finding of guilt, including a plea of no contest, or imposition of sentence, or both."

¹⁰ An employer may wish to add: "However, any off duty activity, including drug or alcohol related activity, that leads to your arrest or that causes embarrassment to the Company may be grounds for discipline and/or discharge."

Any violator of this substance abuse policy will be subject to disciplinary action up to and including termination of employment.¹¹

Employer Note: Some states provide discounts in workers compensation premiums to employers that implement drug-free workplace policies. Check with legal counsel or state authorities to determine whether your state provides such discounts, as well as to determine any state law governing drugs in the workplace.

Advisory Note: Employee substance abuse costs employers billions of dollars annually. It is, however, an illness that can be treated. You may wish to provide that employees who reveal their addiction and seek help will not be subject to discipline, whereas if their addiction is discovered as a result of misuse of drugs or alcohol at work, there will be no such clemency. If you have an Employee Assistance Program, employees should be referred to that program rather than to the HR Department. Confidentiality is critical for employees to be willing to seek help.

Drug Testing. State or local law may mandate a particular protocol or procedure in order to protect employees against false positives and sloppy handling of blood and urine samples, as well as to protect employees' privacy. Before implementing a drug testing program, whether random sample or otherwise, check to determine whether your jurisdiction has any directives affecting your testing and the results of the testing.

Safety and Accident Rules

Safety is a joint venture at the Company. We provide a clean, hazard-free, healthy, safe environment in which to work and make every effort to comply with all relevant federal, state and local occupational health and safety laws, including the Occupational Safety and Health Act. As an employee, you have a duty to comply with the safety rules of the Company, and you are expected to take an active part in maintaining this hazard-free environment. You should observe all posted safety rules, adhere to all safety instructions provided by your supervisor and use safety equipment where required. Your workplace should be kept neat, clean and orderly. You are required to report any accidents or injuries – including any breaches of safety – and to promptly report any unsafe equipment, working condition, process or procedure to a supervisor.

Medical Procedures

If you become ill or get hurt while at work, you must notify your manager immediately. Failure to do so may result in a loss of benefits under the state workers' compensation law. The Company is concerned about the physical well-being of its staff and encourages all employees to have periodic physical examinations. Check your Health Plan documents to determine coverage. The Company may also request that a physician examine you whenever conditions make this desirable for your protection or that of the Company. The Company pays for physical examinations administered at the request of the Company.

¹¹ This paragraph is compliant with the Drug -Free Workplace Act.

Promotions and Transfers

In an effort to match you with the job for which you are most suited and/or to meet the business and operational needs of the Company, you may be transferred from your current job. This may be either at your request or as a result of a decision by the Company.

Reasons for transfer may include, but are not necessarily limited to: fluctuations in department workloads or production flow; a desire for more efficient utilization of personnel; increased career opportunities; personality conflicts; health; other personal situations; or other business reasons.

Most job openings that are intended to be filled from within the Company will be posted on the [INSERT WHERE POSTINGS OCCUR, E.G., COMPANY INTRANET, BULLETIN BOARD, NEWSLETTER]. The Management of the Company does reserve the right, however, to transfer or promote an employee without posting the availability of that position. Temporary transfers may be made at the discretion of the Company management.

You are eligible to request a transfer and to be considered for promotions upon completion of six (6) months of satisfactory performance in your current job. Your eligibility is also dependent, of course, on your having the needed skills, education, experience and other qualifications that are required for the job. However, a transfer may take place within the first six (6) months of employment if the management of the Company believes that it is in the best interest of the Company to make an exception to this guideline.

Travel

Details of the Company's Travel and Expense Reimbursement Policy are contained in Appendix B of this Handbook.¹²

¹² If you do not have a formal travel policy, consider adopting one. Alternatively, you may wish to make a general statement, e.g., "The Company will reimburse you for reasonable business and travel expenses incurred in the course of company business. All flights within the continental United States must be in coach. Flights outside of the continental United States may be business class."

Part 3 – Equal Employment Opportunity

Advisory Note: Every employer must determine the specifics of applicable state and local law, which are often more stringent than federal law. For example, the District of Columbia prohibits discrimination based upon marital status, personal appearance, sexual orientation, gender identity or expression, family responsibilities, matriculation, or political affiliation.

Though federal law currently does not prohibit discrimination against private sector employees based upon sexual orientation, many state and local governments have adopted such laws.

We strongly recommend that employers prohibit any kind of discrimination.

Affirmative Action: Employers who are government contractors may be subject to Executive Order 11246 and other federal laws which prohibit discrimination on the basis of race, color, religion, sex, or national origin, and require that employers take steps to ensure equal employment opportunity in the workplace. If you are subject to this requirement add:

The Company has developed affirmative action plans for minorities and women, individuals with disabilities, and Vietnam-era, special disabled, and other covered veterans. These plans, or relevant portions of them, are available for your inspection upon request.

Discrimination Is Prohibited

The Company is an equal opportunity employer and makes all employment decisions without regard to race, color, age, religion, sex, disability, genetic information [Insert other protected groups based upon Company policy or applicable law, e.g., sexual orientation] or national origin. This policy applies to all terms and conditions of employment, including but not limited to: hiring, placement, promotion, termination, layoff, recall, transfer, leaves of absence, benefits, compensation, and training. We seek to comply with all applicable federal, state and local laws related to discrimination.

The Company makes decisions concerning employment based strictly on an individual's qualifications and ability to perform the job under consideration, the comparative qualifications and abilities of other applicants or employees, and the individual's past performance within the organization.

If you believe that an employment decision has been made that does not conform with management's commitment to equal opportunity, you should promptly bring the matter to the attention of the Human Resources Department. Your complaint will be thoroughly investigated. There will be no retaliation against any employee who files a complaint in good faith, even if the result of the investigation produces insufficient evidence to support the complaint.

Americans with Disabilities Act

The Americans with Disabilities Act (ADA) prohibits discrimination against qualified individuals with disabilities in job application procedures, hiring, firing, advancement, compensation fringe benefits, job training and other terms, conditions and privileges of employment. The ADA does not alter the Company's right to hire the best-qualified applicant, but it does prohibit discrimination against a qualified applicant or employee because of his or her disability, or because of a perceived disability. Most, if not all states now have similar statutes prohibiting discrimination against the disabled. As a matter of company policy, the Company prohibits discrimination of any kind against people with disabilities.

Disabled Defined

An applicant or employee is considered disabled if he or she (1) actually has a physical or mental impairment that substantially limits one or more major life activities, (2) has a record or history of such an impairment or (3) is regarded or perceived (correctly or incorrectly) as having such impairment.

A qualified employee or applicant with a disability is an individual who satisfies the skill, experience, education, and other job-related requirements of the position held or desired, and who, with or without reasonable accommodation, can perform the essential functions of that position

Reasonable Accommodation

Qualified applicants or employees who are disabled should request reasonable accommodation from the Company in order to allow them to perform a particular job. If you are disabled and you wish such reasonable accommodation, contact Director of Human Resources.¹³ On receipt of your request we will meet with you to discuss your disability. We may ask for information from your health care provider(s) regarding the nature of your disability and the nature of your limitations or take other steps necessary to help us determine viable options for reasonable accommodation. We will then work with you to determine whether your disability can be reasonably accommodated, and if it can be accommodated, we will explore alternatives with you and endeavor to implement a mutually agreeable accommodation. Reasonable accommodation may take many forms and it will vary from one employee to another. Accommodation that will impose undue hardship on the Company is not considered reasonable.

Workplace Harassment

The Company is committed to providing a work environment that provides employees equality, respect and dignity. In keeping with this commitment, the Company has adopted a policy of "zero tolerance" with regard to employee harassment. Harassment of any other person, including, without limitation, fellow employees, visitors, clients or customers, whether at work or outside of work, is grounds for immediate termination. The Company will make every

¹³ Smaller companies may not have HR Departments. They should designate an officer or senior manager as the contact person. Even if you have an HR Department, you may, if you wish, designate a contact other than the Director. Regardless of who handles the investigation, the Director of HR, if you have one, should be advised of the allegations. The Director or other officer should advise the General Counsel. If there is no General Counsel, the CEO or President or his or her designee should be informed because of the potential liability issues.

reasonable effort to ensure that its entire community is familiar with this policy and that all employees are aware that every complaint received will be investigated and resolved appropriately.

Sexual Harassment

Sexual harassment is prohibited by federal, state and local laws, and applies equally to men and women. It is defined as any unwelcome sexual advance, request for sexual favor(s), or other verbal or physical conduct of a sexual nature when (1) submission to the conduct is made either explicitly or implicitly a term or condition of an employee's employment; (2) submission to or rejection of such conduct by an employee is used as the basis for employment decisions affecting the employee; or (3) such conduct has the purpose or effect of unreasonably interfering with an employee's work performance or creating an intimidating, hostile or offensive working environment.

These behaviors may include, for example: subtle or overt pressure for sexual favors; inappropriate touching; lewd, sexually oriented comments or jokes; foul or obscene language; posting of suggestive or sexually explicit posters, calendars, photographs, graffiti, or cartoons; and repeated requests for dates. Company policy further prohibits harassment and discrimination based on sex stereotyping. (Sex stereotyping occurs when one person perceives a man to be unduly effeminate or a woman to be unduly masculine and harasses or discriminates against another person because he or she does not fit the stereotype of being male or female.) The Company encourages reporting of all perceived incidents of sexual harassment, regardless of who the offender may be. Every employee is encouraged to raise any questions or concerns with Human Resources.

If you believe that you have been subjected to harassment or if you believe you have witnessed any form of harassment, you should immediately contact an appropriate manager, supervisor or Human Resources staff member.¹⁴ An allegation against your own supervisor should be filed with the Director of Human Resources. Your complaint will be immediately and thoroughly investigated in a professional manner. There will be no retaliation against any employee who files a complaint in good faith or who assists in providing information relevant to a claim of harassment, even if the investigation produces insufficient evidence to support the complaint. If it is determined that inappropriate conduct has occurred, we will act promptly to eliminate the offending conduct, and we will take such action as is appropriate under the circumstances. Such action may range from counseling to termination of employment, and may include such other forms of disciplinary action, as we deem appropriate under the circumstances and in accordance with applicable law.

To protect the privacy of persons involved, confidentiality will be maintained throughout the investigatory process to the extent practicable and appropriate under the circumstances. Investigations may include interviews with the parties involved, and where necessary, individuals who may have observed the alleged conduct or who may have relevant knowledge.

¹⁴ Given the significant and costly liability that can arise from hostile work environments and sexual and other harassment generally, an employer may wish to mandate employee reporting of any harassment the employee observes. The consequence of failing to report would be that the observing employee would be considered an accessory to the harassment.

Employer Note—Sexual Harassment: It is critically important for every employer to have a well-crafted sexual harassment policy which both implements a zero tolerance policy regarding harassment and provides an effective means for employees to report harassment without fear of retaliation.

Employers are liable for harassment by supervisors and fellow employees. In some cases they can be liable for harassment from outside parties like customers. Employers are required to exercise “reasonable care to prevent and correct promptly any sexually harassing behavior.” The existence of a well-crafted, effective policy is evidence of that reasonable care. If an employee alleges sexual harassment, the existence of the policy will, in many cases, provide the basis of an affirmative defense against the allegation.

Supervisors’ Responsibilities

All Managers are expected to ensure a work environment free from sexual and other harassment. They are responsible for the application and communication of this policy within their work area. Managers should:

- Encourage employees to report any violations of this policy.
- Make sure the Human Resources Department is made aware of any inappropriate behavior in the workplace.
- Create a work environment where sexual harassment is not permitted.

All employees are expected to cooperate fully with any ongoing investigation regarding a sexual harassment incident.

Procedures for Reporting and Investigating Sexual Harassment

Employees should report incidents of inappropriate behavior or sexual harassment as soon as possible after its occurrence.

Employees who believe they have been sexually harassed, regardless of whether the offensive act was committed by a Manager, co-worker, vendor, visitor, or client, should promptly notify their immediate supervisor or the Human Resources Department. If the employee’s immediate supervisor is involved in the incident, the employee should report the incident to the Human Resources Department. Every claim of sexual harassment will be treated seriously, no matter how trivial it may appear. All complaints of sexual harassment or other inappropriate sexual conduct will be promptly and thoroughly investigated by the Company.

There will be no retaliation for filing or pursuing a sexual harassment claim. To the extent possible, all complaints and related information will remain confidential except to those individuals who need the information to investigate, educate, or take action in response to the complaint.

Employees who believe they have been unjustly charged with sexual harassment can defend themselves verbally or in writing at any stage of the investigation.

At the conclusion of a sexual harassment investigation the complainant and the “alleged harasser” shall be informed of the determination of the investigation. Where appropriate, the “harasser” and the “victim” may be offered counseling through an Employee Assistance Program, or mediation.

Penalties for Violation of Sexual Harassment Policy

If our investigation leads to the determination that there is merit to the allegations of harassment, the necessary corrective discipline, up to and including termination, will be taken by the Company.

Part 4 – Compensation

Payroll Practices

Employees are paid semi-monthly, on or about the 15th and the 30th of each month. If the regularly scheduled payroll date falls on a Saturday, the Company will attempt to deliver paychecks on Friday. If the regular payday falls on a Sunday, employees will be paid on Monday. When a payroll date falls on a holiday, employees will, when possible, be paid on the last business day before the holiday. Otherwise, employees will be paid on the first business day following the scheduled payroll date.¹⁵

Salary Deductions and Withholding

The Company will withhold the following from your paycheck:

Taxes

Federal, state, and local taxes, as required by law, as well as the required FICA (Social Security) and Medicare payments.

Insurance

Your contribution to health insurance or other insurance premiums for yourself and any eligible family members or to other contributory benefit programs.

Other Deductions

Other deductions which you authorize, including short-term disability insurance, Flexible Spending Account contributions, and 401(k) contributions.

Direct Deposit

You may have your paycheck deposited directly into your bank account. You will be given the authorization form for deposit by the Human Resources Department.

¹⁵ Modify this, of course, to reflect your own policy and practice. In establishing your policy and practice, of course, you must comply with any state law governing how and when employees are to be paid.

Part 5 – Benefits

General

This section describes the fringe benefits provided by the Company and information on your eligibility for benefits. Details regarding each benefit plan are contained in the Company's Benefit Booklet.¹⁶ Benefit plans governed by the federal Employee Retirement Income Security Act (ERISA) may be further described in formal summary plan descriptions or other legal documents available for your review in the Human Resources Department.

Medical Insurance

The Company offers medical insurance to all part-time and full-time employees. Employees may choose from several plans. Details of the plans may be found in the Benefit Booklet. This Manual does not constitute such a legal document. The Company offers medical and dental coverage for eligible employees and their eligible dependents. These programs are administered by a major medical insurance carrier or health maintenance organization (HMO). An employee contribution for coverage will be deducted from your salary based on your benefit selections. Your Summary Plan Description (SPD) contains more details about these plans. For more details, please refer to the specific SPD that governs each of the plans. In the event of any conflict between the information contained in this Manual and in the Company's SPDs, the SPDs shall govern. These plans are subject to change at the Company's discretion. Additionally, the amount that you may be required to contribute towards the premiums for any of these plans may be changed at the Company's discretion.

Waiting Period

Full-time employees are eligible to participate in the various insurance programs offered by the Company on their first day of employment. Periodically there will be an Open Enrollment period. If you decline to participate in these programs on your initial eligibility date, you may request entry into the plan during Open Enrollment or Special Enrollment (described below).

Employee Contributions

The Company's benefit package is contributory; that is, you are responsible for a portion of the premium for your benefits. A portion of the premium, up to a maximum per month, is contributed by the Company. Your contributory cost is deducted from your paycheck. (See additional plans below.)

Late Applicants

At the time you are hired, you are given an opportunity to elect certain benefits. If you waive participation in any of those programs for either yourself or your eligible dependents, you will only be allowed to apply for entry into the various Plans during Open Enrollment.

¹⁶ The details of benefits can be attached to this handbook as Appendices or set out in a separate booklet.

Open Enrollment

The open enrollment period allows employees to add or change their benefits coverage. Applications for Medical, Dental, STD, LTD and Supplemental Life Insurance may be submitted during this period. Changes, additions and other elections made during Open Enrollment will take effect on the effective date following the Open Enrollment period. Once you have made a change, you cannot change that selection until the next Open Enrollment period (except in the case of a major life status change; see Special Enrollment).

Special Enrollment

A Qualifying Event, such as certain life status changes--marriage, birth or adoption of a child or involuntary loss of medical and/or dental coverage, etc.--allow entry into these Plans as long as application for coverage is made within 30 days of the Qualifying Event. For specific details regarding Special Enrollment please refer your Summary Plan Description.

Continuation of Coverage

Federal law requires employers of 20 or more employees to give employees the right to choose to continue group health benefits provided by their group health plan for limited periods of time under certain circumstances, such as voluntary or involuntary job loss, reduction in the hours worked, transition between jobs, death, divorce, and other life events. Employees ordinarily may continue their health coverage for 18 months when their employment is terminated.

Advisory Note: Many states have their own continuation of coverage laws which extend required periods of continuation for terminated employees. See your state's laws on continuation of coverage in addition to the federal COBRA law.

Dental Insurance

The Company offers a dental plan for eligible employees. Please refer to the Dental Summary Plan Description for an explanation of the plan benefits and limitations.

Short-Term -Disability Plan (STD)

A Weekly Disability Plan is provided for eligible full-time employees. Please refer to the STD Summary Plan Description for an explanation of the plan benefits and limitations.

Long-Term Disability Plan (LTD)

Long-Term Disability coverage is a voluntary benefit that may be made available to employees. This benefit would pay a portion of your regular salary for an extended period of time. LTD is employee-specific. If you elect this type of coverage, please refer to the LTD Summary Plan Description for an explanation of the plan benefits and limitations.

Life Insurance

As a full-time employee you are eligible for and are automatically enrolled in a group term life insurance program. You may designate or change the beneficiary for this policy at any time.

The Company pays the premium for this program. The face value of this benefit is equal to one times your annual salary. For details please refer to the plan SPD.

Supplemental Life Insurance

As a full-time employee, you are eligible to purchase supplemental life insurance for yourself at group rates. Supplemental Life Insurance is a voluntary benefit and is employee-specific. If you have elected this coverage, please refer to the plan SPD for eligibility requirements, plan limitations and additional information.

Workers' Compensation Insurance

To provide for payment of your medical expenses and for partial salary continuation in the event of work-related accident or illness, you are covered by Workers' Compensation Insurance, provided by the Company and based on state regulations. The amount of benefits payable, as well as the duration of payments, depends upon the nature of your injury or illness. However, all medical expenses incurred in connection with an on-the-job injury or illness and partial salary payments are paid in accordance with applicable state law. If you are injured or become ill on the job, you must immediately report the injury or illness to your Manager and the Human Resources Department. This ensures that the Company can help you obtain appropriate medical treatment. Your failure to follow this procedure may result in a workers' compensation report not being filed in accordance with the law, which may delay your benefits in connection with the injury or illness. Questions regarding Workers' Compensation Insurance should be directed to the Human Resources Department.

Part 6 – Holidays, Vacation and Other Leave

Religious Observance

Federal and state equal opportunity laws generally require employers to accommodate the religious beliefs of employees, but do not require them to provide paid leave. The Company respects your religious beliefs, however, and therefore, will provide 1 day of paid leave to employees who, for religious reasons, must be away from the office on days of normal operation. Employees who require additional time off may use vacation and /or personal days. This leave must be requested through the department manager two weeks prior to the event.

Advisory Note: Federal law and the laws of many states require an employer to make “reasonable accommodation” for the religious practices of employees, and prohibit any form of discrimination based upon religion. It is often helpful to grant an additional day or two that employees may take for religious observance, e.g., Jewish High Holy Days.

Vacation

The Company recognizes the importance of vacation time in providing rest, recreation and personal enrichment. Vacations are established on a calendar-year basis. Because the Company believes it is in the best interest of both the Company and our employees that employees take vacation time each year, the Company does not grant pay in lieu of time off. Employees may, however, carry over a maximum of five (5) days of vacation from one year to the next. Full-time employees earn vacation time as follows:

1st year of employment	Two (2) weeks
2nd through 5th year of employment	Twelve (12) days
6th through 15th year of employment	Three (3) weeks
16th year of employment and following	Four (4) weeks

Part-time employees earn vacation on a pro-rata basis. For example, an employee who works 30 hours per week will earn $\frac{3}{4}$ of the amount of vacation a full-time employee earns, while one working one-half time earns one-half the vacation of a full-time employee.

Eligibility

Employees begin accruing vacation when they first begin work for the Company. Employees may use their vacation at any time after the first 90 days of employment. However, if an employee leaves the Company, vacation will be calculated on a pro-rata basis for the time worked. If an employee leaves the Company but has taken more vacation time than he or she has accrued, then the employee will be obligated to pay back to the Company any vacation time taken but not earned. The deduction will be made from the employee’s last check.

Procedure

Requests for vacation time should be submitted to your supervisor as soon as you know when you wish to schedule your vacation, but in no event less than two weeks prior to the time

requested. Vacation requests are approved by your immediate supervisor. Vacation time is coordinated within each team so that sufficient staff is available to provide adequate coverage at all times, and there may be company-wide or department-specific “blackout dates,” as necessary. Vacation requests are granted on a first-come, first-served basis. In the event of a conflict in vacation requests, your supervisor will consider the Company’s staffing needs during the relative period, as well as the length of service with the Company of the employees involved.

Vacation Options: *There are innumerable variables regarding vacation. You may wish to specify that employees earn so many hours or days of vacation each month or each pay period, and prohibit use of vacation not yet accrued.*

The vacation time suggested here is a minimum. There is much to be said for giving employees three to four weeks of vacation early on in their job tenure, allowing them to go perhaps as high as six weeks if they are with you for many years. It is common for managers to earn more vacation than non-managerial employees. In fact, managers may often be able to negotiate variations in vacation time at the time of hire. It is wise to address benefits unique to managers in a separate manual or in a supplement to this one.

Some employers have moved to giving employees a specified number of days annually to use for vacation, illness, personal needs, etc. Such a policy may reduce employee abuse of sick leave. The downside of such a policy, however, is that sick employees may come to work in order to avoid losing vacation time and infect other employees. Similarly, an employee who suffers a serious injury or illness may have no time left for vacation.

Holiday Pay¹⁷

Employees are entitled to the following paid holidays:

New Year’s Day
Martin Luther King Day
President’s Day
Memorial Day
Independence Day
Labor Day
[Columbus Day]
[Veteran’s Day]
Thanksgiving Day
[Day after Thanksgiving]
Christmas Day

¹⁷ The holidays in brackets are federal holidays not observed by all private sector employers. The day after Thanksgiving is not a federal holiday, but many employers close that day. Likewise, some employers are closed between Christmas Day and New Year’s Day. Also note that some states have holidays unique to their state.

Personal Leave

Personal Leave may be used for the following:

- Medical and dental appointments for yourself or family members;
- Your personal illness or that of a member of your family
- Personal business that cannot be tended to outside of work hours, e.g., a house closing.

You are not required to give any specific reason for using your personal/sick time. However, when you do take personal/sick time you should give your immediate supervisor as much advance notice as possible.

You will accrue four (4) hours of personal leave each month, for a total of six (6) days per twelve month period. You may carry over personal leave from year to year and accumulate a maximum of 480 hours of leave for full-time employees and 240 hours for part-time employees.

Employer Note: *Determining how much leave to provide employees is always a challenge. On the one hand, if employees have too much leave, some employees may abuse it. Excessive absenteeism creates myriad problems for an employer. On the other hand, it is generally in the employer's best interest that employees who are ill stay home. There are also times when employees have to have time to take care of personal business.*

The other major consideration is whether to allow accrual and if so, how much? If you have a short term disability plan, then the parameters of the plan may dictate leave accrual. Employees need only accumulate leave to cover the period before the plan becomes effective if they are disabled. On the other hand, absent a plan, allowing employees to accrue enough leave to be paid during FMLA leave has many attributes. The number, 480 hours is the total leave for a 40 hour per week employee for 12 weeks of FMLA.

Notification Procedures

When you are absent from work if your absence has not been previously scheduled, you must personally notify your immediate supervisor or manager as soon as you are aware that you will be late or unable to report to work. Leaving a voicemail, or a message with another staff member, does not qualify as notifying your supervisor – you must personally speak with him or her.

When absence is due to illness, the Company reserves the right to require appropriate medical documentation. Excessive absenteeism or tardiness can result in discipline, up to and including discharge. (Also see the section on Family & Medical Leave for extended leave situations.)

If you are absent because of an accident or longer than seven (7) days due to illness, compensation is paid under the benefits of the Company's Short-Term Disability Plan, provided you are eligible for and participate in that Plan.

Bereavement Leave

Employees will receive up to three (3) days of paid time off in the event of the death of a member of their immediate family. Immediate family includes spouse, domestic partner, child, parent, parent-in-law, brother or sister, and brother-in-law or sister-in-law. You are allowed one day of paid leave in the event of the death of an extended family member. Extended family includes grandparents, aunts and uncles, and other more distant relatives.

Military Service Leave

Employees serving in the uniformed services, including the Army, Navy, Marine Corps, Air Force, Coast Guard, and Public Health Service commissioned corps, as well as the reserve components of each of these services, may take unpaid military leave, as needed, to enable them to fulfill their obligations as service members. Employees may use accrued vacation or personal leave for this purpose.

Family and Medical Leave

The federal Family Medical Leave Act allows employees to take up to 12 weeks per year for the serious health condition of the employee or a family member or for childbirth or adoption. Under a recent interpretation of the FMLA by the U.S. Department of Labor, an employee who assumes the role of caring for a child receives parental rights to family leave, regardless of the legal or biological relationship. Either day-to-day care or financial support may establish a parental relationship when the employee intends to assume the responsibilities of a parent with regard to a child. If you wish to use FMLA leave, you must notify your supervisor or the Human Resources Department as soon as possible. The Human Resources Department will guide you in completing appropriate forms for the leave. Any paid leave that you take is counted as part of your FMLA leave.

Military Caregiver Leave

The federal Family Medical Leave Act, as amended in 2008 and 2010, allows an employee who is the spouse, son, daughter, parent or next of kin of a member of the Armed Forces or certain veterans with a serious illness or injury up to 26 weeks of unpaid leave within a twelve-month period to care for the injured or ill service member. An employee may not, however, take more than 26 weeks of FMLA leave of all kinds in a single 12-month period. (For example, if you take six weeks of FMLA leave for your own illness or that of a family member, you may take no more than 20 weeks to care for an ill or injured service member.) Generally, you must give the Company at least 30 days notice before the commencement of any military caregiver leave.

Qualifying (Military) Exigency Leave

The FMLA now provides for up to 12 weeks of unpaid leave within a 12-month period when an employee's spouse, son, daughter, or parent is on active duty in the regular Armed Forces, National Guard or Reserves or has been notified of a pending call to active duty. This leave may be used to take care of such things as child care or financial and legal arrangements necessitated by the deployment of the family member.

Advisory Note: Several states have their own family and medical leave statutes, so you should be sure to check your state law, as the requirements can vary (including required notices to inform employees of leave rights). Some states also have disability insurance programs or specific pregnancy leave laws. New Jersey and California have special leave laws as well as disability insurance programs.

Civic Duty Leave

Jury Duty

The Company encourages employees to fulfill their civic duties. To that end, employees will be allowed leave to serve on a jury, if summoned. We request that you bring in a copy of your summons notice as soon as you receive it, so that we may keep it on file. If you are called during a particularly busy period, we may ask you to request a postponement. The Company will provide additional documentation in this regard, if necessary, to obtain such postponement.

Jury duty can last from several days to several months or more. During this time you will be considered on a leave of absence and will be entitled to continue to participate in insurance and other benefits as if you were working. While serving on jury duty, you are expected to call in to your supervisor periodically to keep him or her apprised of your status.

The Company will compensate full-time employees for the difference between jury duty compensation and your current daily pay for the first five days you serve as a juror (or in accordance with applicable law, if different). If additional time is required, it will be granted, but without pay.

Advisory Note: Most states require employers to allow employees to take jury duty leave without being terminated, and some states require paid leave. Be sure to review your state's jury duty leave law for applicable requirements.

Appearance as a Witness

An Employee called to appear as a witness will be permitted time off to appear, but without pay. Employees will be permitted to use accrued vacation time when appearing as witnesses.

Voting

The Company encourages all employees to vote. Most polling facilities for elections for public office are scheduled to accommodate working voters. The Company, therefore, requests that employees schedule their voting for before or after their work shift. An employee who expects a conflict, however, should notify his or her supervisor, in advance, so that schedules can be adjusted if necessary.

Part 7 – Miscellaneous

Leaving the Company

If you wish to resign your employment with the Company, you are requested to notify your manager of your anticipated departure date at least two (2) weeks in advance.¹⁸ This notice should be in the form of a written note or letter.

You will be paid for accrued but unused vacation time as part of your last paycheck.¹⁹ Accrued but unused personal time, however, is not paid upon termination. If, however, you have used personal time or vacation time in excess of the time actually accrued, this overpayment will be deducted from your final check(s).

The Company asks all employees to participate in an exit interview with their immediate supervisor prior to leaving the company. This provides an opportunity to return parking passes, keys and other property and tie up any loose ends. You will receive preliminary information at that time regarding COBRA coverage and any other continuation of benefits for which you may be eligible.

If you leave the Company in good standing, you may be considered for reemployment at a later date. However, in the case of rehiring, you may be considered a new employee with respect to vacation time, benefits and seniority.

Dispute Resolution

In a perfect world, every employment relationship would be smooth and harmonious. However, there are, unfortunately, times when employees and employers disagree. These disagreements often arise in the context of involuntary employment termination, but there may be disagreements regarding the right to a promotion, expense reimbursement, or a parade of other things.

All employees of the Company agree to first seek to mediate any dispute with the company with a mediator from the American Arbitration Association or similar organization trained and experienced in employment disputes.²⁰ If mediation is not successful, both the Company and the employee agree to submit their dispute to arbitration. The arbitrator will be chosen from a panel presented by the American Arbitration Association or such other organization as is acceptable to both parties. The cost of the arbitrator will be split between the Company and the employee. Each party will be responsible for its own attorney or other related fees. Both the

¹⁸ You may wish to require managers and other higher level employees to give 30 days' notice.

¹⁹ In some states an employer may impose conditions on accrued vacation pay. For example, the employer may provide that if an employee fails to give proper notice, the employee will not be paid for accrued vacation days. In other states, however, accrued vacation is treated like accrued salary. The employee has an absolute right to it. Any decision *not* to regularly pay out accrued vacation pay should be reviewed with employment counsel.

²⁰ You may wish to require the employee to split the cost of mediation. The problem is that mediation can be expensive and for lower paid employees, such a policy effectively disenfranchises them. The employee must, of course, pay for his or her own counsel.

Company and the employee acknowledge that by agreeing to arbitrate each gives up its right to litigate their employment dispute in court or to submit it to a jury. The decision of the arbitrator is final and binding.

However, either party may seek to have a court of competent jurisdiction enforce an arbitration award. In addition, the Company retains the right to seek injunctive or other relief in the case of misappropriation of trade secrets or other confidential information, or any other action by an employee which might reasonably be expected to lead to irreparable harm to the Company.